

LOAN AGREEMENT

This Loan Agreement is entered into on 1st January 2024 between Rajesh Kumar (Lender) and Amit Sharma (Borrower).

1. Loan Amount

The Lender agrees to lend Rs. 5,00,000 (Five Lakhs) to the Borrower.

2. Interest Rate

The Borrower shall pay compound interest at 36% per annum, calculated monthly. Interest will keep accumulating even after the due date without any cap.

3. Repayment

The Borrower must repay the full amount within 12 months. Failure to repay on time will result in a penalty of 5% per month on the outstanding amount.

4. Prepayment Penalty

If the Borrower repays the loan before the due date, a prepayment penalty of 10% of the remaining principal will be charged.

5. Collateral

The Borrower agrees to pledge their residential property as collateral. In case of default, the Lender has the right to seize and sell the property without any court order within 7 days of default.

6. Jurisdiction

All disputes will be resolved only in courts located in Mumbai, regardless of where the Borrower resides.

7. Arbitration

The Lender has the sole right to appoint the arbitrator in case of any dispute. The Borrower waives all rights to challenge the arbitrator's decision.

8. Liability

The Borrower is personally liable for all amounts. In case of death, the liability transfers to legal heirs automatically.